

LOAN AGREEMENT

Zarvale Bank (Lender) and Vaquite Industries, Inc. (Borrower).

Loan number	651609684
Agreement date	12/18/2024
Facility type	Term loan
Interest basis	variable
Payment frequency	monthly
Payment convention	Monthly in arrears on the last calendar day of each interest period
Maturity date	12/31/2042
Principal amount	\$1,131,826.06
Stated interest rate	6.00%

ARTICLE 1. DEFINITIONS

1.1 Capitalized terms used and not otherwise defined herein have the meanings assigned to them in this Section. Terms defined in the singular have the corresponding meaning when used in the plural, and references to any agreement or instrument include all amendments, restatements, and supplements thereto.

1.2 As used in this instrument, the following terms have the meanings set forth below. Accounting terms not specifically defined herein shall be construed in accordance with accounting principles generally accepted in the United States, consistently applied.

1.3 Any consent or approval required hereunder shall not be unreasonably withheld, conditioned, or delayed, and shall be deemed given if no written objection is delivered within 5 days after request.

ARTICLE 2. PARTIES; AUTHORITY

2.1 The persons executing this instrument on behalf of each party represent and warrant that they are duly authorized to do so and that this instrument constitutes the legal, valid, and binding obligation of such party, enforceable in accordance with its terms.

2.2 Each party represents that it is duly organized, validly existing, and in good standing under the laws of the state of its formation, and that the execution and delivery of this instrument have been duly authorized by all necessary action.

2.3 No modification of this instrument is effective unless in a writing signed by the party against whom enforcement is sought, and no course of dealing shall be construed as a modification.

ARTICLE 3. PAYMENT TERMS

3.1 Scheduled principal and accrued interest are due monthly in arrears on the last calendar day of each interest period. If that date is not a banking day, the debit may process on the next banking day without becoming past due.

3.2 Payments received are applied first to accrued interest and charges and then to principal unless applicable law requires a different application.

ARTICLE 4. ESCROWS AND IMPOUNDS

4.1 Upon request, the obligor shall deposit monthly one-twelfth of the annual taxes, assessments, and insurance premiums, as estimated by the holder, to be held without interest and applied to such charges as they become due; deficiencies shall be paid on demand.

4.2 Each party shall, within 5 days after written request, execute such further assurances and additional instruments as may reasonably be required to carry out the intent of this instrument.

4.3 Delivery of an executed counterpart of this instrument by electronic transmission is effective as delivery of a manually executed counterpart.

ARTICLE 5. COVENANTS

5.1 The Borrower shall furnish annual financial statements within one hundred twenty days after fiscal year end.

ARTICLE 6. COLLATERAL; SECURITY INTEREST

6.1 The Borrower shall execute, deliver, and record such mortgages, deeds of trust, financing statements, and other instruments as may reasonably be required to create, perfect, and maintain the priority of the liens and security interests contemplated hereby, and shall not permit any other lien upon the collateral other than liens for taxes not yet due and payable.

6.2 As security for the full and punctual payment and performance of all obligations hereunder, the Borrower hereby grants a continuing first-priority security interest in and lien upon the Property, all fixtures and equipment now or hereafter located thereon, all leases, rents, revenues, accounts, and general intangibles arising therefrom, and all proceeds of the foregoing.

6.3 All cure periods hereunder run concurrently with any statutory periods, and in no event shall a monetary default remain uncured more than 10 days after written notice thereof.

ARTICLE 7. INSURANCE

7.1 At all times during the term, insurance shall be maintained with financially sound and reputable insurers, in such amounts and against such risks as are customarily carried by similarly situated parties, including property insurance on a replacement cost basis and commercial general liability coverage, with certificates delivered upon request.

7.2 Each policy required hereunder shall name the other party as an additional insured or loss payee, as its interests may appear, and shall provide that it may not be cancelled or materially modified without thirty days' prior written notice.

7.3 If more than one person or entity constitutes a party hereunder, the obligations of each such person or entity are joint and several.

ARTICLE 8. TAXES AND ASSESSMENTS

8.1 All real and personal property taxes, assessments, and governmental charges levied upon the Property or the interests created hereby shall be paid before delinquency, and evidence of such payment shall be furnished upon request.

8.2 Any amount not paid within 60 days after its due date shall bear a late charge equal to 3 percent of the amount past due, which the parties agree is a reasonable estimate of administrative cost and not a penalty.

8.3 Amounts received in respect of the Property shall be applied in the order provided in the principal terms, with any excess remitted to the party entitled thereto within 5 days.

ARTICLE 9. DEFAULT; REMEDIES

9.1 A scheduled payment remaining unpaid more than fifteen days after its contractual due date incurs a delinquency fee equal to five percent of the overdue payment. The charge does not alter any applicable notice or cure right.

9.2 During a continuing payment or covenant default, the Lender may exercise the cumulative remedies stated in this Agreement and available under applicable law.

ARTICLE 10. NOTICES

10.1 All notices required or permitted hereunder shall be in writing and shall be deemed given when delivered personally, one business day after deposit with a nationally recognized overnight courier, or three business days after deposit in the United States mail, certified, return receipt requested, addressed to the addresses set forth herein.

10.2 Any obligation that by its nature extends beyond the expiration or earlier termination hereof survives such expiration or termination.

10.3 The prevailing party in any action to enforce this instrument shall recover its reasonable attorneys' fees and costs, including fees on appeal and in any bankruptcy proceeding.

ARTICLE 11. GOVERNING LAW

11.1 This instrument shall be governed by and construed in accordance with the laws of the state in which the Property is located, without regard to conflicts of law principles, and the parties submit to the jurisdiction of the courts of that state.

ARTICLE 12. MISCELLANEOUS

12.1 Time is of the essence of each provision of this instrument. The captions are for convenience only and do not define or limit the scope of any provision. This instrument binds and benefits the parties and their permitted successors and assigns.

12.2 This instrument contains the entire agreement of the parties with respect to its subject matter and supersedes all prior negotiations and understandings. If any provision is held invalid, the remainder shall continue in full force. This instrument may be executed in counterparts, each of which is an original.

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

J. Zeward

Borrower: Vaquite Industries, Inc.

C. Quaxley

Lender: Zarvale Bank